

2-5a Civil Law, Common Law, and Theocratic Law

Laws in different countries typically are not enacted from scratch, but are often transplanted—voluntarily or otherwise—from three legal traditions (or legal families):

- (1) civil law,
- (2) common law, and
- (3) theocratic law ([Table 2.5](#)).

Each is briefly introduced here.

Learning Objective 2-4

Outline the differences among civil law, common law, and theocratic law.

Table 2.5

Three Legal Traditions

Civil law countries	Common law countries	Theocratic law countries
Argentina, Austria, Belgium, Brazil, Chile, China, Egypt, France, Germany, Greece, Indonesia, Italy, Japan, Mexico, Netherlands, Russia, South Korea, Sweden, Switzerland, Taiwan	Australia, Canada, Hong Kong, India, Ireland, Israel, Kenya, Malaysia, New Zealand, Nigeria, Singapore, South Africa, Sri Lanka, United Kingdom, United States, Zimbabwe	Iran, Saudi Arabia, United Arab Emirates

Civil law (A legal tradition that uses comprehensive statutes and codes as a primary means to form legal judgments.)

was derived from Roman law and strengthened by Napoleon’s France. It is “the oldest, the most influential, and the most widely distributed around the world.” It uses comprehensive statutes and codes as a primary means to form legal judgments. More than 80 countries

practice civil law.

Common law (A legal tradition that is shaped by precedents and traditions from previous judicial decisions.)

, which is English in origin, is shaped by precedents and traditions from previous judicial decisions. Common law has spread to all English-speaking countries and their (former) colonies.

Relative to civil law, common law has more flexibility, because judges have to resolve specific disputes based on their *interpretation* of the law, and such interpretation may give new meaning to the law, which will shape future cases. Civil law has less flexibility, because judges only have the power to *apply* the law. On the other hand, civil law is less confrontational, because comprehensive statutes and codes serve to guide judges. You may have seen common law in action in Hollywood movies such as *A Few Good Men*, *Devil's Advocate*, and *Legally Blond*. Common law is more confrontational, because plaintiffs and defendants, through their lawyers, must argue and help judges to favorably interpret the law, largely based on precedents. This confrontation is great material for movies. In contrast, you probably have rarely seen a civil law court in action in a movie—you have not missed much, because civil law lacks the drama and its proceedings tend to be boring. In addition, contracts in common law countries tend to be long and detailed to cover all possible contingencies, because common law tends to be relatively underdefined. In contrast, contracts in civil law countries are usually shorter and less specific, because many issues typically articulated in common law contracts are already covered in comprehensive civil law codes.

The third legal family is **theocratic law** (A legal system based on religious teachings.) , a legal system based on religious teachings. Examples include Jewish law and Islamic law. Although Jewish law is followed by some elements of the Israeli population, it is *not* formally embraced by the Israeli government. Islamic law is the only surviving example of a theocratic legal system that is formally practiced by some governments, such as those in Iran and Saudi Arabia. Despite the widespread characterization that Islam is anti-business, it is important to note that Mohammed was a merchant trader and that the tenants of Islam are pro-business in general. However, the holy book of Islam, the Koran, advises against *certain* business practices. In Saudi Arabia, McDonald's operates "ladies only" restaurants to be in compliance with the Koran's ban on direct, face-to-face contact between men and women (who often wear a veil) in public. Banks have to maintain two retail branches: One for male customers staffed by men, and another for female customers staffed by women. This requirement obviously increases the property, overhead, and personnel costs. To reduce costs, some foreign banks, such as HSBC, staff their back office operations with both male and female employees who work side by side.

Overall, as an important component of the first, regulatory pillar, legal systems are a crucial component of the institutional framework. They directly impose do's and don'ts on businesses around the globe. Overall, under the broad scope of a legal system, there are numerous components. Two of these, property rights and intellectual property, are discussed next.

Chapter 2: Understanding Formal Institutions: Politics, Laws, and Economics: 2-5a Civil Law, Common Law, and Theocratic Law
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